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Behind the image of South–South solidarity at Brazil's Vale

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Brazil's ex-president, Lula da Silva, has made the South–South trajectory to Africa a regular feature of his political life both during and after his two terms in office. Throughout Africa he is held in high esteem as a leader of national liberation, in the pantheon of South Africa's Nelson Mandela or Mozambique's Samora Machel. On his first presidential visit to Mozambique in 2003, Lula got a hero's welcome and gave emotional speeches about South–South solidarity and the strength of Brazil's affinity to Africa. He responded with empathy to the AIDS pandemic and promised Brazilian support for a project to produce affordable AIDS drugs. The Brazilian entourage included Roger Agnelli, the brash banker who while still in Bradesco had played a key role in assessing the value of Brazil's premium state enterprise, Companhia Vale do Rio Doce (Uchoas 2009). The evaluation of assets was carried out in preparation for a privatisation auction which took place in 1997. Agnelli subsequently became Vale's first president and CEO.

Buoyed by the 'commodities supercycle' with average increases of 150% from 2002 to 2012 (NI 2014), the seemingly endless Chinese demand for iron ore to feed its steel industry and the abundant capital available from the Brazilian National Bank for Social and Economic Development (BNDES), Agnelli seemingly had the Midas touch. His era of command in the newly named 'Vale' was characterised by aggressive global expansion and fabulous profits and returns to shareholders. Yet by tracking Vale's trajectory, whether within Brazil itself, in Mozambique where it has embarked on a greenfields investment in a coal